CANON MEXICANA, S. DE R.L. DE C.V.

TITLE: **Psychosocial Risk Prevention Policy**					
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OBJECTIVE

Ensure compliance with NOM-035-STPS in order to identify psychosocial risk factors and promote a favorable organizational environment in Canon Mexicana's facilities and corporate offices.

SCOPE

All Canon Mexicana employees.

DEFINITIONS

1. **Severe traumatic event:** That experienced during or because of work that is characterized by the occurrence of death or that represents a real danger to the physical integrity of one or more people that can generate post-traumatic stress disorder for those who suffer or witness it.

2. **Social support**: Actions to improve social relations at work that promote mutual support in solving work problems between employees and/or leaders

3. **Diagnosis of safety and health at work:** Identification of unsafe or dangerous conditions; from physical, chemical or biological agents or ergonomic or psychosocial risk factors capable of modifying the conditions of the work environment; of the surrounding dangers of squares and/or corporate offices.

DEVELOPED AND REVIEWED BY:	**AUTHORIZED BY:**
Nelia Ladrón de Guevara Human Resources Manager DATE: 21/07/20	Carolina Mejía Administration Vice President DATE: 22/07/20

4. **Favorable Organizational Environment**: One in which the employees' sense of belonging to the company is promoted; training for the proper performance of the assigned tasks; the precise definition of responsibilities for the employees in the squares and/or corporate offices; proactive participation and communication among employees; the adequate distribution of workloads with regular working hours in accordance with the Federal Labor Law, and the performance evaluation and recognition.

5. **Psychosocial risk factors**: They are understood as those that can cause anxiety disorders, non-organic sleep-wake cycle and severe and adaptative stress, derive from the nature of the job functions, the type of working day and exposure to severe traumatic events or to acts of workplace violence for the performed work.

6. **Harassment**: The exercise of power in an actual relationship between the victim and the aggressor in the workplace, which is expressed verbally physically or both.

7. **Leaders**: Canon Mexicana staff at managerial levels, or that have staff in charge.

8. **Work violence:** It is constituted of incidents in which the employee suffers abuse, threats or attacks in circumstances related to work, which put their safety, well-being or health at risk directly or indirectly.

REFERENCES

The frameworks on which this policy is based are:

- Kyosei Corporate philosophy: "Living and working together for the common good"
- Institutional elements: Mission, Values and Corporate Objectives
- Internal Work Regulations of Canon Mexicana
- Employee Code of Conduct
- Non-Discrimination Policy (Canon-012/15)
- Harassment and discrimination free workplace policy (CANON-013/15)
- Allowances and benefits Policy (RH-001/18)
- Recruitment, Selection and Hiring Policy (RH-011/18)
- Training Policy (RH-016/18)
- Economic Support for Professional Development Policy (RH-018/18
- Labor promotions Policy (RH-019/17)
- ISO 19011:2018 Quality Standard

GENERAL GUIDELINES

Canon Mexicana assumes compliance with the commitments related to the prevention of psychosocial risk factors; the prevention of workplace violence, and the promotion of a favorable organizational environment.

- It is the obligation of all Canon Mexicana employees to apply this policy and lead by example.
- Acts of workplace violence are not tolerated, as well as any incident that fosters psychological risk factors or actions against the favorable organizational environment; they can be reported directly with their first report line and if necessary use the “Canon complaint line” at **01800 112 20 20** or by sending an email to the following account: compliance@cusa.canon.com, ensuring that confidentiality is guaranteed.
- Measures aimed at the prevention of psychosocial risk factors are applied; the prevention of workplace violence, and the promotion of a favorable organizational environment, to prevent its adverse consequences.
- There is an equal attention procedure, which does not allow retaliation and avoids abusive or unfounded claims, and which guarantees the confidentiality of cases, established as part of the Canon Mexicana principles of ethics.
- Prevention policies and prevention measures are effectively disclosed.
- All employees participate to establish and implement this policy in the workplace.
- The exercise of the rights of personnel to observe their beliefs or practices or to satisfy their needs related to race, sex, religion, ethnicity, age or any other condition that may give rise to discrimination is respected, and
- Participation and consultation spaces are created, considering the ideas of the employees.

PRINCIPLES

This policy is based on these principles:

1. To promote a favorable organizational environment in the facilities and/or corporate offices it is important to:

    - Keep work areas clean; as well as the common areas: dining room, bathrooms, toilets and accesses.
    - Maintain the facilities in conditions that allow the protection of employees against epidemiological risks, in accordance with the guidelines issued by federal and local health authorities.

- Treat coworkers, leaders, subordinates, visitors, suppliers, and customers with kindness and courtesy.
- Attend to all cases related to ridicule, mistreatment, discrimination, etc., and where appropriate, this is sanctioned in accordance with the Canon Mexicana Code of Ethics.
- Perform medical examinations on new staff to ensure the health of the employee.
- Apply the hiring guidelines in accordance with the recruitment and selection policy with the best practices that care about employee's integrity.
- Carry out internal promotion plans.
- Train all personnel for the performance of their duties, their safety and development.

2. Promote employees' sense of belonging to the organization. It is emphasized that all employees are important to it since it could not function if it did not have personnel from the cleaning, through the operational, administrative and even managerial personnel.

3. Achieve the proper performance of the assigned tasks. Provide their employees with the training established in the Annual Training Plan based on the detected training needs and aligned with the competencies required for the performance of their job.

4. Achieve the precise definition of responsibilities for employees. The follow-up to the organization's manuals and job descriptions that indicate the responsibilities and competencies of each job position are published, disseminated and promoted.

5. Achieve proactive participation and communication among the members. Through the publication of announcements, news and notices of interest to its employees regarding their work and the operation of the company.

6. Promote decent work and achieve a favorable organizational environment. Make an adequate distribution of workloads, with working hours in accordance with the Federal Labor Law, for this purpose, defined in the organization manuals and in the job descriptions that are issued, as well as in the Internal Labor Regulations, depending on the specific nature of the work in question

7. To recognize employee performance. The performance of each of the employees is evaluated twice a year, which is carried out personally through the immediate supervisor of the employees in question, and the results of this serve as basis for determining recognition or benefits to outstanding employees, as well as to define the Annual Training Plan.

8. Commitment to monitor compliance with the regulations aimed at preventing any conduct or behavior that implies workplace violence, to safeguard the information that is collected Process and intervene, in a timely manner, in complaints received by the established means.

REGULATORY COMMITTEE

COMPLIANCE COMMITTEE		
Involved	**Responsibility**	**Responsible**
Human Resources	-Responsible for the promotion, dissemination and application of the mentioned activities to human capital as part of good practices, they will also be responsible for disseminating these accomplishments with front-line leaders as part of their joint responsibility. -It will facilitate the messages to be communicated to the employees in order to maintain a line of communication towards them.	• Human Resources Manager • Human Resources Specialist
Legal/Quality	-Always care for the integrity of Canon Mexicana employees in accordance with the Mexican regulatory framework and applicable corporate guidelines	• Legal Area Director • Auditor
Safety and Hygiene	-Promote and provide the guidelines that ensure the safety and protect the health of employees in accordance with the corresponding regulatory framework and the present applicable corporate guidelines.	• Corporate Communications Manager • General Affairs Supervisor

RESPONSIBILITIES

Canon Mexicana will carry out awareness-raising actions, information and training programs to promote favorable organizational environments and prevent psychosocial risks such as:

1. Corporate Philosophy. In canon we believe in the *Kyosei* Philosophy: "*all people, regardless of race, religion, or culture, harmoniously living and working together into the future*". *Kyosei* is the foundation for all Canon Activities. The *Kyosei* philosophy indicates that each employee must try to do their best, but at the same time be aware and responsible for their actions and the consequences they have for other people, groups and for the entire planet. Derived from this Philosophy, we place emphasis on communication, fairness, mutual respect and integrity.

2. Company induction course. Provide new entrants with effective general guidance on the purposes of the company, its structure, policies and procedures, in order to develop in them a feeling of belonging to the company that generates high morale and enthusiasm.

3. Compliance program. The purposes of this program are: a) To emphasize the dedication of the Company and the employees to honesty, integrity, ethics and best practices; b) Develop a process that motivates employees to report potential problems and; c) Investigate acts of alleged misconduct and immediately initiate corrective measures when appropriate.

4. "The first 90 days" program: The objective of this program is to establish a communication channel with new employees, in which their opinions will be heard to improve processes in their areas in order to shore up the trust of the staff towards the company. The dynamics of this program consists of three group meetings held every 30 days with staff that have been in the company for a month.

5. Canon Mexicana Organizational Development Program. It promotes a culture of high performance, focused on teamwork, honesty and continuous improvement. Its focus is to provide activities and services that help management levels identify corporate objectives and business strategies, as well as provide useful tools for employees to build a career plan within Canon.

6. Social Responsibility Activities. The purpose of this program is to contribute to caring for the environment, spreading culture, supporting in natural disasters and supporting programs that generate awareness and interest in the well-being of society. The Corporate Social Responsibility program has a national scope. Likewise, it supports projects framed within the following subjects: Environment, Social Development, Cultural Diffusion, Humanitarian aid (support in cases of natural disasters or crises in vulnerable areas).

7. Environmental Management Program. The purpose of this program is to harmonize the environmental, economic and social interests in all the activities, products and services of the company. It seeks to offer products with less environmental impact through innovative improvements in resource efficiency; and seeks to eliminate antisocial activities that threaten the health and safety of humanity and the environment.

8. Individual and group recognition programs. Canon has established the following awards for individual and group recognition of employees:
    - *Canon Americas Spirit Award*. Its purpose is the recognition of those employees who had an outstanding effort which was outside the normal scope of the responsibilities of their position.
    - *Canon Americas President's Award (CAPA)*. This award is created to recognize outstanding teams that have found new and innovative ways to support Canon Americas corporate strategy.
    - *Canon Mexicana President´s Award*. This award is created to recognize outstanding teams who have contributed importantly in one of the established categories

9. Organizational Culture and Environment Survey. Every year, the company carries out a diagnosis of Culture and Organizational Environment through the application of a questionnaire to all staff, which aims to know the set of beliefs and values shared within

the company, as well as the atmosphere that is breathe within the organization, made up of the set of feelings and emotions that employees perceive in their workplace, in order to establish actions that promote a better work environment and strengthen the corporate culture.

10. Internal Customer Satisfaction surveys. Every semester the Administration Division applies to all the personnel a satisfaction survey corresponding to the areas of Human Resources, Corporate Communications, Procurement, Legal, IT and General Affairs, to know the quality of the services received and obtain suggestions for improvements. Based on this information, each area establishes a plan of activities to be carried out to improve the satisfaction of their internal clients

11. Internal communication strategic plan. Through the implementation of an internal communication plan, Canon seeks to disseminate and promote company policies and values, fostering a corporate culture, as well as a unique identity for Canon employees.

12. Performance Appraisal: Through a systematic and objective process, the improvement of employee performance and the achievement of better company results are sought.

13. Integration events: Throughout the year, different integration events and activities are organized in order to unite and strengthen staff from the various areas of the company. Some of these events are the birthdays celebration, Mother's and Father's Day, Day of the dead, Green Day, Children's Day and New Year's Eve party.

14. Engagement Program: This program seeks to explore and apply tools to increase employee's commitment levels with their leaders, work teams and with the organization.

POLICY COMPLIANCE

1. Canon Mexicana is committed to care of the well-being (physical, emotional and social) of the employees up to the corresponding faculties, through the aforementioned actions and additionally comply with the psychosocial risk assessment in accordance to the standards of the NOM-035-STPS Current psychosocial risk.

2. This policy can be effective only if it is endorsed by all employees, being also responsible for acting in each event that may have a negative impact on their well-being, physical or mental health directing the necessary efforts and resources to achieve it. Disciplinary measures may apply to all personnel who direct or approve such actions or who are aware of those actions and do not promptly correct them. Employees are expected to collaborate with internal investigations of misconduct.

3. If a subordination to this guideline occurs, Canon Mexicana will adopt the appropriate preventive, disciplinary or legal measures.